NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CA/38/CAA/2018

Under Section 230, 231 r/w Section 66 of the Companies Act, 2013
and
In the matter of TVS Motors Services Limited
and
In the matter of Scheme of Arrangement of
M/s.TVS MOTORS SERVICES LIMITED
(Applicant Company-1)
and
M/s.TVS CREDIT SERVICES LIMITED
(Applicant Company-2)
and
their Respective Shareholders

Order delivered on: 25.05.2018

CORAM:
K. ANANTHAPADMANABHASWAMY, MEMBER (JUDICIAL)
S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

For the Petitioners: *Shri.Arjun Perikal, Advocate*

ORDER

Per: S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

Under consideration is a Company Application in CA No.38/CAA/2018 filed by the **M/s.TVS MOTORS SERVICES LIMITED** (Applicant Company-1), **M/s.TVS CREDIT SERVICES LIMITED** (Applicant Company-2) under Sections 230, 231 and other applicable provisions of the Companies Act, 2013.

The Applicant Company through this application has prayed for seeking directions for dispensing with the convening, holding and conducting of the meeting of the preference shareholders and secured/unsecured creditors of the Applicant Companies.

i) M/s. TVS Motors Services Limited (Applicant Company-1)

The Applicant Company-1viz., M/s. TVS Motors Services Limited has 8 (Eight) equity shareholders. The list of equity shareholders is placed at page 242-Annexure H of the typed set filed with the Application. The consent affidavits given by all the 8 (Eight) equity shareholders are placed at pages 244-265 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, therefore, the meeting of the equity shareholders of the Applicant Company-1 is allowed to be dispensed with.

ii) M/s.TVS Credit Services Limited (Applicant Company-2)

The Applicant Company-2 viz., M/s.TVS Credit Services Limited has 13 (Thirteen) equity shareholders. The list of equity shareholders is

placed at page 279 – Annexure L of the typed set filed with the Application. The consent affidavits given by all the 13 (Thirteen) equity shareholders are placed at pages 281 to 317 of the typed set filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with the convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the Applicant Company-2 is allowed to be dispensed with.

It is submitted by the Applicant Company that the consent of creditors of the Applicant Company No.2 will not be required for the sanction of this Scheme, as this Scheme does not contemplate any arrangement with the creditors of the Applicant Company No.2. It is submitted that only shares already issued by the Applicant Company No.2 are being transmitted under the Scheme with no fresh allotment or reduction in share capital of the Applicant Company No.2. Hence, no prayer has been made for dispensing with meeting of creditors, since no such meeting is warranted

The Tribunal observes that since the Applicant No.1 has issued and allotted non-cumulative redeemable preference shares redeemable with the option to have equity shares of Applicant Company No.2 in proportion to the investment held by such holders of the Preference Shares in the paid up share capital of Applicant Company No.1 at the time of redemption. Since it is only the redemption of the redeemable preference shares in applicant company 1 there is no change in the share holding pattern in the Applicant Company 2 and the obligation of the Applicant company towards the debtors, creditors and shareholders remain unchanged.

In the case of applicant company No.1 there is a reduction in share capital by way of redemption of preference shares. The applicant company No.1 has given the particulars regarding secured and unsecured creditors. The applicant No.1 company has one secured and also unsecured creditors as on 30.11.2017 as per Annexure J. There is one secured creditor whose secured credit amounts to Rs.10,062.00 lakhs. The consent of the secured creditor in Annexure K page 268 of the application. Three unsecured creditors have given their consent affidavits vide Annexure K page No.270.

The total unsecured credit is Rs.7,659.13 lakhs including trade payables, statutory dues and other liabilities out of which the consent affidavits of 3 major unsecured creditors amounting to Rs.7,509.13 lakhs is available at Annexure K. The three unsecured creditors consents amount to Rs.7,509.13 lakhs. The value of the unsecured creditors who have given their consent amounts to 98.04% of the total unsecured credit including trade payable, statutory dues and other liabilities. In view of this, the meeting of unsecured creditors with respect to applicant 1 company is also dispensed with.

The Applicant Company No.2 has submitted a no objection letter from RBI dated 10.04.2018 being a Non Banking Financial Company registered as such with RBI. Hence, further reference to RBI is not required.

Looking into the prayers made in the application by the Transferor and Transferee Companies in relation to the Scheme of Arrangement, this Bench directs in terms of under clause (5) of the section 230 under sub-section (3) of the Companies Act, 2013 to issue notices to the Regional Director, Ministry of Corporate Affairs, ROC concerned, Income Tax Authorities and such other sectorial regulators

or authorities, if applicable. There is no change in the turnover or asset base and there is no conbination of businesses. Hence there is no need to obtain clearance from the CCI under Competition Act 2002 and the regulations framed there under. Since the Applicant Company No.1 and Applicant Company No.2 are Public Limited companies they are directed to issue notices to SEBI and to the respective Stock Exchanges. The authorities are to make objections/representations, if any, within 30 days from the date of the receipt of notice. In case no objection/representation is received within the stipulated time it shall be deemed that they do not have any objections.

The Bench directs the applicant companies to make separate publication of notices in newspapers one in English and the other in vernacular language and as preferred by the applicants in Business Standard (English Edition) and Malai Malar (Tamil Edition), not less than 30 days before the next date of hearing of the petition. The Applicant Companies are directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the company. The Applicant Companies are also directed to send

private notice to the authorities by way of speed post and file the proof of sending and effecting service of notice along with the paper publication by way of an affidavit before the next date of hearing. The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

The petition shall be presented on or before **10.07.2018.**

(S.VIJAYARAGHAVAN)
MEMBER (TECHNICAL)

(K.ANANTHA PADMANABHA SWAMY)
MEMBER (JUDICIAL)

sd/pb